

How the Assessment Works — Plain English

What this tool is for: an investor (a fund, a bank, a private equity firm) wants to know how much ESG risk a company they invest in carries. This is the process, step by step.

The big picture in one line

You describe the company, answer some questions about how well it is managed, and the tool tells you how much risk is left over.

That "risk left over" is the whole point. It is what you act on.

The two ideas behind every score

Exposure — what the company is exposed to.

Some businesses are inherently riskier than others on a given topic. A chemical plant has a lot of climate and safety exposure. A software company has almost none — but a lot of data privacy exposure. Exposure comes from *what the company does*, not how well it does it.

Management — how well the company controls it.

Once you know what it's exposed to, you ask how well they handle it: do they have a policy, do they measure it, do they have targets, is anyone checking?

Residual risk — exposure adjusted for management.

High exposure + strong management = manageable. High exposure + no management = serious.

Low exposure + strong management = nothing to worry about.

> Think of it like driving. Exposure is how fast the car goes. Management is the brakes.

> A fast car with good brakes is fine. A fast car with no brakes is a disaster. A slow car

> with no brakes barely matters.

The workflow, step by step

Step 1 — Pick the company

Enter the name of the company you are assessing, and the period you are looking at.

Step 2 — Say what it does

Choose the industry, or industries, the company operates in.

This matters more than anything else you do, because it sets the exposure. It is also where you handle a company like Allianz that spans several businesses: you pick each one and say how much of the company each represents. The tool blends them.

- A single-business company → pick one.
- A conglomerate → pick all that apply and weight them (usually by revenue share).

Step 3 — Answer the questions

For each topic (climate, safety, data privacy, and so on) there are a few questions about how the company manages it, scored 1 to 5:

Score	Meaning
1	Nothing in place
2	Informal or ad hoc
3	Formal policy, partly working
4	Working, measured and monitored
5	Independently checked, targets on track

Two things to note:

- The questions are the **same** for every company. Only the weighting changes.
- You record where the answer came from. A claim from management is weaker evidence than a verified document. This is deliberate.

Step 4 — Read the results

The tool shows:

- a score per topic, colour-coded from low to high risk
- a score per area (Environmental, Social, Governance)
- an overall score for the company
- the specific actions that score requires

Step 5 — Have it reviewed, then approved

This is not optional, and it is built into the tool:

1. The analyst submits the assessment.
2. A named **reviewer** checks it against the evidence.
3. A **different named person** approves it.

The tool will not let you skip steps, and will not let the same person review and approve.

Once approved, the answers lock. Everything anyone does is recorded with their name and the time, so you can always see who changed what.

Step 6 — Compare across the portfolio

All companies roll up into one view, weighted by how much of the portfolio each one is. So you can see where risk is concentrated, and which companies are dragging the whole portfolio.

What you do with the answer

The score is not a verdict. It maps to an action:

Result	What happens
Low	Monitor. Nothing needed this round.

Result	What happens
Moderate	Look again next year. Ask follow-up questions.
High	An engagement plan within 90 days.
Severe	Escalate to the investment committee. Consider conditions, or walk away.

The honest caveats

- **The data is self-reported** until someone reviews it. Treat unverified answers as claims, not facts.
- **Nobody independently checks the answer** — the tool checks the process, not the truth.
- **A score is a summary, not a truth.** Round numbers are more honest than decimals here.
- **Weakest link:** the industry weighting is currently drafted, not verified. If the weighting is wrong, every score downstream is wrong.

The one-sentence summary

Pick the company, say what it does, answer how well it is managed, and the tool tells you how much risk is left — which a second person then checks before anyone acts on it.